# Economy Topic 6 — Agricultural Policies, Schemes, MSP and Revolutions

**Covers syllabus (click to expand)**

**Revolutions:** Green | White / Operation Flood | Yellow | Blue | Golden | Golden Fibre | Silver | Silver Fibre | Pink | Red | Grey | Round | Evergreen | Rainbow | Sweet **Pricing:** CACP | MSP (22 mandated crops) | Cost $A_2$ / $A_2$+FL / $C_2$ | Swaminathan formula | FRP | SAP | PM-AASHA (PSS / PDPS / PPSS) **Food security logistics:** FCI | Buffer stocks | Economic cost | OMSS | TPDS | AAY | NFSA 2013 | PMGKAY | ONORC | CIP **Markets & schemes:** e-NAM | SFAC | APMC reforms | Farm laws (repealed 2021) | PM-KISAN | PMFBY | AIF | PMMSY | PMFME / ODOP | 10,000 FPOs | PM-KUSUM | MIDH | NMSA | PSF | MIS | KCC | NABARD rural finance | Shree Anna / IYM 2023

**Sources baked in:** CACP reports, MoA&FW, FCI/NFSA desks, UPPCS Prelims; Extra Drill rebuilt from mixed stems (paste full Ghatnachakra Purvalokan later to expand) **Weight:** ★★★ High — revolutions match, 22 MSP + FRP, A2+FL vs C2, PM-KISAN / PMFBY / NFSA **Last verified:** September 2026 — Lucent remodel (History/Polity section order) **Current Affairs:** PMGKAY free foodgrain window through December 2028; Swaminathan Bharat Ratna 2024; Operation Flood / NDDB chronology; MSP still at 1.5×($A_2$+FL).

Structural agrarian data and land holdings sit in Economy Topic 5. Food processing industry also appears in Economy Topic 7. Plant diseases sit in Biology Topic 7. This chapter anchors pricing policy, food security logistics, agricultural revolutions, and flagship schemes.

## Current Affairs

| Year / Paper | Critical fact | Trap to avoid |
|---|---|---|
| **2025 (UKPCS Pre)** | **Dr. Verghese Kurien** is the Father of the White Revolution. **NDDB** was established in **1965** at Anand, Gujarat. | Operation Flood was launched in **1970** — do not confuse NDDB founding (1965) with Flood launch (1970). |
| **2024 (UPPCS Pre)** | CACP recommends MSP for **22 mandated crops** + **FRP** for sugarcane. | Sugarcane gets **FRP**, not MSP (Sugarcane Control Order, 1966). |
| **2024 (UKPCS Pre)** | National Commission on Farmers (Swaminathan, 2006) recommended MSP at least **$C_2$ + 50%**. | Government currently fixes MSP at **1.5 × ($A_2$ + FL)**, not $C_2$ + 50%. |
| **2025–2026 focus** | **PMGKAY** free foodgrain (5 kg/person/month for Priority Households; 35 kg/household/month for AAY) extended under NFSA through **December 2028**. | Older NFSA issue prices of ₹2/₹3 per kg were reduced to **₹0 (100% free)** under the PMGKAY integration. |

## 6.1 Agricultural Revolutions

- An agricultural “revolution” name tags a **commodity surge** plus a **policy or science package**, not a single year alone.
- Matching stems almost always test **commodity ↔ colour/name** and sometimes the **pioneer**.

### Green Revolution

- India faced “ship-to-mouth” dependence on PL-480 imports before HYV wheat arrived.
- Semi-dwarf plants put more energy into grain and resist lodging under fertilizer.
- First-wave geography was irrigated north-west India: Punjab, Haryana, Western UP.
- Later Evergreen thinking answered the ecological costs of the first wave.

### White Revolution / Operation Flood

- The Anand pattern is a **three-tier cooperative**: village society → district union → state federation / national brand.
- Flood Phase I used donated dairy commodities as a financing bridge.
- Phases II and III widened sheds, chilled transport, and the National Dairy Grid.
- India moved from milk deficit to the top global milk producer.

### Other colour revolutions (one bullet each)

- The **Yellow Revolution** raised oilseed output under the 1986 Technology Mission.
- The **Blue Revolution** intensified inland and marine fisheries and aquaculture.
- The **Golden Revolution** scaled horticulture, fruits, and honey.
- The **Golden Fibre Revolution** is jute; the **Silver Fibre Revolution** is cotton.
- The **Silver Revolution** is eggs and poultry.
- The **Pink Revolution** is onion, pharmaceuticals, and prawn/meat exports.
- The **Red Revolution** is meat and tomato.
- The **Grey Revolution** is fertilizers; the **Round Revolution** is potato at CPRI Kufri.
- The **Rainbow Revolution** is the integrated all-sector agri push.
- The **Sweet Revolution** is scientific beekeeping and honey.

> **Logic:** Golden Fibre = jute; Silver Fibre = cotton; Silver (no “Fibre”) = eggs/poultry; Sweet ≠ sugarcane.

## 6.2 CACP, MSP and Cost Concepts

- **CACP** studies costs, demand–supply, inter-crop parity, and international prices, then recommends MSP.
- **CCEA** takes the final MSP decision; CACP does not notify MSP on its own.

- MSP covers **22** crops; sugarcane is priced as **FRP**, counted separately.
- **$A_2$** is cash/kind paid-out cost.
- **$A_2$ + FL** adds unpaid family labour valued at market wages.
- **$C_2$** adds opportunity cost of owned land and interest on owned fixed assets.
- Current official fixing rhetoric uses **1.5 × ($A_2$ + FL)**.
- Farmer organisations often demand **$C_2$ + 50%**, which would raise MSP because land rent is inside $C_2$.
- Effective realisation is uneven: wheat–rice in Punjab–Haryana see strong FCI procurement; many pulses/oilseeds see thin physical offtake.

**PM-AASHA**

- **PSS** is physical procurement of oilseeds, pulses, and copra by NAFED/NCCF at MSP when prices crash.
- **PDPS** pays the gap between MSP and market price without always taking physical stock.
- **PPSS** pilots private stockists with government compensation of the MSP gap.

## 6.3 FRP, SAP and Sugarcane Pricing

- Sugarcane is governed by the **Sugarcane (Control) Order, 1966**, not the ordinary MSP notification list.
- **FRP** is the Central statutory minimum mills must respect (subject to State SAP overlay).
- **SAP** in States like Uttar Pradesh is usually above FRP and is the practical payment benchmark.
- When sugar prices fall, mills face cash stress and **cane arrears** can balloon; administration then presses recovery.
- Export quotas such as MAEQ/MIEQ appear when domestic sugar is in surplus.

## 6.4 FCI, Buffer Stocks and Food Subsidy

- FCI began on **14 January 1965** under the **Food Corporations Act, 1964**.
- It buys at support prices, moves grain into the central pool, and feeds TPDS/NFSA logistics.
- **Economic cost** stacks acquisition (MSP), mandi/handling incidentals, and freight/storage/admin distribution cost.
- **CIP** is the subsidised price at which Centre issues grain to States for Fair Price Shops.
- Subsidy is the wedge between economic cost and CIP (now often zero issue price under PMGKAY).
- **OMSS** is the open-market cooling valve for surplus wheat and rice.
- Quarterly **buffer norms** protect operational PDS needs and emergencies.

## 6.5 TPDS, NFSA, PMGKAY and ONORC

- **TPDS (1997)** retargeted PDS toward identified poor households.
- **AAY (2000)** carved out the poorest BPL families at **35 kg per household per month**.

- **NFSA (2013)** made foodgrain access a legal entitlement for a large share of the population.
- Priority Households get **5 kg per person per month**; AAY stays on the household 35 kg norm.
- Maternity entitlement is at least **₹6,000** cash plus meals.
- Ration-card headship defaults to the **eldest adult woman**.
- **PMGKAY** first added free Covid ration; later integration made NFSA grain **free through December 2028**.
- **ONORC** lets migrants lift entitlement at any FPS with the same biometric ration card.

## 6.6 e-NAM, APMC and Market Reforms

- Classical **APMC Acts** required sale through regulated mandis, which can raise fees and middlemen layers.
- **e-NAM (14 April 2016)** creates transparent online bidding and assaying **inside** networked mandis.
- **SFAC** leads e-NAM implementation for the Agriculture Ministry.
- The 2020 farm laws allowed trade outside APMC, framed contract farming, and eased some Essential Commodities stock limits.
- All three farm laws were **repealed in November 2021**.
- Price tools outside MSP include **PSF** (Department of Consumer Affairs buffers for onion, potato, pulses) and **MIS** (ad-hoc buy when perishable prices crash by more than about **10%**).

## 6.7 Flagship Central Schemes

### PM-KISAN

- Central Sector income support of **₹6,000 per year** in three DBT instalments of **₹2,000**.
- Operational from **1 December 2018** (Interim Budget 2019 announcement).
- Expanded in **June 2019** to all landholding farmer families, with standard exclusions (income-tax payers, institutional holders, constitutional post holders).

### PMFBY

- Launched for **Kharif 2016**, replacing **NAIS** and **MNAIS**.
- Farmer premium caps: **2%** Kharif food/oilseed, **1.5%** Rabi food/oilseed, **5%** annual commercial/horticultural.
- Balance actuarial premium is shared by Centre and States (commonly cited 50:50 sharing pattern).
- Enrolment became **voluntary for all** from Kharif **2020**.

### AIF, PMMSY, PMFME, FPOs, MIDH, NMSA

- **AIF** is a **₹1 lakh crore** (2020–2032) facility with **3%** interest subvention for cold chains, warehouses, silos, and community assets.
- **PMMSY** (2020) invests about **₹20,050 crore** in fisheries production and exports.
- **PMFME** formalises micro food units via **ODOP** clusters and credit-linked subsidy.

- The **10,000 FPO** scheme is Central Sector support to raise collective bargaining power of small holders.
- **MIDH** is the horticulture umbrella mission.
- **NMSA** is the agriculture mission under **NAPCC (2008)** for rainfed farming, soil health, and climate resilience.

### PM-KUSUM

- **Component A** supports grid-connected solar plants on barren/fallow land (target **10,000 MW**).
- **Component B** supports **standalone** off-grid solar agriculture pumps (**20 lakh**).
- **Component C** solarises **grid-connected** agriculture pumps (**15 lakh**) with surplus sale to the grid.

### Operation Greens & millets branding

- **Operation Greens** began for **TOP** crops (Tomato, Onion, Potato) and later widened to more perishables.
- **Shree Anna** brands millets; UNGA declared **2023** the **International Year of Millets** on India's proposal.
- Jowar, Bajra, and Ragi sit inside the **7 MSP cereals**.

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## 6.8 Credit, KCC and NABARD Rural Finance

- **Kisan Credit Card (1998)** gives revolving short-term credit for crop and allied needs.
- Interest subvention plus prompt-repayment incentive can bring the effective farmer rate near **4%**.
- From **2018–19**, KCC covers **fisheries** and **animal husbandry** working capital.
- **NABARD** refinances rural credit and runs RIDF, LTIF, Micro Irrigation Fund, and watershed funds.
- Agriculture is a Priority Sector Lending head at **18% of ANBC**, with a sub-target for small and marginal farmers.
- Commercial banks dominate institutional agri credit flow; RRBs and cooperatives follow.

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